

What is currency?

Currencies are rigidly defined by the systems or economies they are commonly used in society. In the modern economic usage, they are primarily “stores of value” - which means that they assure all users that they are worth having due to their assured value. Although the degree and relative nature of that value may differ, it is stable and generally known. E.g. the Indian rupee is an assurance of value in the Indian system but it may not be easily used in China, but it can be traded for Chinese currency of equal value through established systems.

All across the world the different currencies are traded on foreign exchange markets under the careful watch of government regulations. Since each currency is established and regulated by national governments, they represent the economic power and stability of the nation's economy and require monitoring. As recent international economic developments have shown, the economic strength of any nation is first felt in the strength of its currency.

Some currencies, such as the United States dollar, are near-universally accepted across the world due to the relative strength of its national economy, whereas the former (2009) currency of Zimbabwe ran out of steam with a 100 trillion dollar note that was even then less valuable than one US dollar. Currencies are constantly changing in value across markets as countries continue to trade with each other but there are a handful of currencies that are broadly accepted - the Euro and US dollar - being the preferred ones.

Due to the nationally critical nature of this form of money, currencies are produced under extremely controlled setups by governments. Often



A currency not even worth the paper it's printed on. Epic decline.